WINFRED QUEK | PROPERTY ADVISORY

The HDB Upgrade Roadmap

Know your real numbers before you upgrade.

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CEA R073319H

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WHO THIS IS FOR

Numbers first. Then you shop.

You have crossed your 5 year MOP. Your household brings in roughly $10k to $20k a month. Friends keep telling you to upgrade while you still can, and part of you agrees. But before you start scrolling listings at midnight, one thing decides everything: your real numbers.

Most HDB owners shop first and calculate later. That order is backwards, and it is where the stress and the costly mistakes come from. This roadmap flips it. Work through it once and you will know, on paper, whether an EC or a private condo is comfortably within reach, and what timing keeps you safe.

> *This is the same method I walk through with families before they ever view a single unit. No jargon, no pressure, just the numbers that matter.*

THE METHOD

The 4 questions to answer first

Before you fall in love with a unit, get clear answers to four questions. Get these right and the rest of the journey is mostly logistics. Get them wrong and you risk holding two homes, or none.

THE 4 QUESTIONS

Answer these before you shop

1 How much will my HDB actually net me?

The number that matters is not the sale price. It is what lands in your pocket after you refund the CPF you used, plus the accrued interest that has been compounding at 2.5% a year since the day you bought. Many owners are surprised how much of their profit returns to their CPF Ordinary Account rather than arriving as cash.

2 How much CPF and cash do I really have to deploy?

Your buying power is the cash proceeds from the sale, plus the CPF that flows back in, plus any savings you choose to commit. The split between cash and CPF matters, because some costs, such as the option fee and part of the stamp duty, often need cash up front.

3 What can I comfortably afford?

Your loan is capped by two rules. TDSR limits total monthly debt to 55% of gross income. For an EC bought from a developer, MSR also caps the housing loan at 30% of gross income. Banks stress test you at a higher notional rate, even though current bank rates sit around 1.5%. The word that matters is comfortably, not maximum.

4 What is my full exit and entry timing plan?

This question protects you. When do you sell, when do you buy, and how do the two line up so you are never caught paying two mortgages, or scrambling for somewhere to live? For HDB owners buying private property, ABSD timing and the sale of your flat are tightly linked. A clear plan removes the panic.

YOUR NUMBERS WORKSHEET

Fill this in with your own figures

Use realistic estimates. You do not need to be perfect, you need to be honest. This single page tells you more than fifty listings ever will.

SELLING YOUR HDB	
Estimated HDB sale price	
Outstanding home loan	
CPF used to date (principal)	
CPF accrued interest (about 2.5% per year)	
Estimated cash proceeds to you	

WHAT YOU HAVE TO DEPLOY	
CPF refunded back to your OA	
Cash proceeds from the sale	
Additional cash savings you will commit	
Total buying power	

BUYING YOUR NEXT HOME	
Target EC or condo price	
Estimated loan required	
ABSD if it applies to you	
Buyer Stamp Duty	
Estimated monthly commitment	

> *When the bottom of this page is filled in, you have done what most upgraders never do: you know your number before you shop.*

AVOID THESE

The 3 most expensive mistakes

Mistake 1. Timing the sale wrong

The fix: Sell too early and you may need a rental and a second move while you wait for your new home. Sell too late and you risk paying two mortgages at once, or facing ABSD pressure on the private purchase. Write a timing plan that sequences your sale and purchase before you commit to either.

Mistake 2. Underestimating the CPF refund hit

The fix: The accrued interest on the CPF you used keeps growing for as long as you own the flat. Owners who only look at sale price minus loan often overestimate their cash proceeds by a wide margin. Calculate the full CPF refund, principal plus accrued interest, before you assume what you can spend.

Mistake 3. Shopping for units before knowing their number

The fix: The most common one, and the most painful. You view a beautiful unit, fall for it, then discover the financing does not work, or works only by stretching dangerously thin. Know your number first, then shop only inside it.

WHAT GOOD LOOKS LIKE

The shape of a well planned upgrade

The example below uses illustrative ranges only. It is not a quote, a forecast, or a real client result. Every household is different.

> A couple past their MOP sells their flat. After refunding CPF principal and accrued interest, a meaningful share of the proceeds returns to their CPF rather than arriving as cash. They combine the refunded CPF, their cash proceeds, and modest savings to form their deposit. They size the new loan well within TDSR and, where MSR applies, within that limit too, choosing a monthly commitment they can hold comfortably even if rates move. They sequence the sale and purchase so there is never a month of two mortgages.
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> *The point is not the numbers. The point is the order: numbers first, timing planned, then shopping. That is what calm, confident upgrading looks like.*

YOUR NEXT STEP

Turn the framework into your real numbers

You now have the method. The fastest way to turn it into your actual numbers is a free 30 min session with me. We work through your real figures together, no obligation, no pressure. You walk away knowing whether upgrading makes sense for you right now, and what timing keeps you safe.

20+ families advised through exactly this decision

[BOOK YOUR 30 MIN SESSION]

Free 30 min numbers session | no obligation | no pressure

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